NRB Bearings Ltd

NSE: NRBBEARING | BSE: 530367 | Auto Ancillary — Bearings & Precision Components

India's largest needle-roller bearing maker pivoting from auto-OEM commodity to high-margin industrial precision — Rs. 2,500 Cr revenue target by FY31.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	Rs. 510	+14.9%
CMP: Rs. 444	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 444.10	Market Cap	Rs. 4,228 Cr
52-Week High	Rs. 455.80	52-Week Low	Rs. 212.55
P/E (TTM)	29.6x	P/B	4.5x
ROCE (FY26)	15.7%	ROE (FY26)	14.9%
EV/EBITDA	13.2x	Dividend Yield	1.8%
FY26 Revenue	Rs. 1,335 Cr	FY26 PAT	Rs. 146 Cr
EBITDA Margin (FY26)	19.5%	Net D/E	0.06x
Promoter Holding	51.2%	Pledge	Nil

Investment Horizon: 12–18 months

Report Date: 15 June 2026 | **Analyst:** MPM Institutional Research

2. INVESTMENT THESIS

- **Structurally re-rating on margin expansion:** NRB's EBITDA margin expanded 320 bps over FY22-FY26 to 19.5%, driven by automation, product mix shift toward industrial and export clients, and operating leverage. The FY26 EBITDA of Rs. 267 Cr represents a 83% jump from FY22 levels — the PAT recovery from Rs. 82 Cr (FY25) to Rs. 146 Cr (FY26, +78% YoY) is the most compelling re-rating catalyst.
- **Rs. 2,500 Cr revenue target by FY31 underpins a structural growth runway:** Management has sanctioned Rs. 500 Cr capex over 5 years (FY26-FY31) targeting new verticals — aerospace (HAL/DRDO), industrial machinery (Siemens), robotics, and data center cooling precision components. This implies a 13% revenue CAGR from FY26 versus NRB's historical 9%. New Hyderabad plant targets cylindrical roller bearings for industrial OEMs — a higher-margin segment.
- **EV-agnostic model insulates against ICE-to-EV transition risk:** Needle roller bearings serve transmissions AND EV drivetrains (e-axles, traction motors, reducers). NRB has secured lifetime nominations worth Rs. 750 Cr from BMW, Mercedes-Benz, and Stellantis for EV-compatible components. Its 60% domestic market share in needle rollers creates a moat that survives powertrain shifts.

• **Near-term catalyst (next 6-9 months):** Q1 FY27 results (Aug 2026) — consensus expects revenue to cross Rs. 350 Cr quarterly for the first time. Additionally, Unitec JV (Italian partner, cylindrical bearings, Rs. 67 Cr investment) commercialisation by H2 FY27 adds a premium-priced European customer channel.

• **Biggest structural risk:** Export revenue concentration and geopolitical sensitivity — exports represent ~35% of sales but grew only 4% in FY26 due to Middle East disruptions and European OEM capex caution. A prolonged European slowdown or US tariff escalation on auto parts could clip 100-150 bps from EBITDA margins given the high-margin nature of export orders.

3. BUSINESS OVERVIEW

• **Core business — precision bearing manufacturer:** NRB Bearings manufactures needle roller bearings, cylindrical roller bearings, drawn cup bearings, and precision engineering components. Founded in 1965, the company is the flagship of the Kapur family-promoted group and operates 5 manufacturing plants across Jalna (Maharashtra), Pantnagar (Uttarakhand), and Vadodara.

• **Revenue segmentation:** Automotive accounts for ~65% of revenue (2W ~25%, PV/CV ~40%); Industrial (off-highway, railways, defence, pumps) ~20%; Exports ~35% of overall revenues (European and Asian OEMs). Products are used in over 90% of vehicles on Indian roads.

• **Market position — dominant in a niche:** NRB holds ~60% domestic market share in needle roller bearings and ~30% in cylindrical roller bearings. The domestic branded bearing market is estimated at Rs. 14,000 Cr growing at 9-10% annually, with industrial bearings growing faster at 12-14%.

• **Key customers — blue-chip OEM relationships:** Maruti Suzuki, Tata Motors, Mahindra, Honda Motorcycles, TVS, Bajaj Auto (India domestic); BMW, Mercedes-Benz, Stellantis, ZF Friedrichshafen (export). Relationships are multi-year, lifetime nominated, making revenue highly recurring (~80% is repeat/running business).

• **Strategic pivot underway:** (a) Aerospace entry — supplying HAL/DRDO with certified aerospace bearings; platform qualification cycles are 18-24 months but once certified, revenue is captive. (b) Unitec JV — Italian joint venture for cylindrical roller bearings targeting European industrial sector, Rs. 67 Cr investment, H2 FY27 commercialisation. (c) Acquisition of Mahant Tool Room (Jan 2026) adds precision tooling capability.

• **Promoter group:** Kapur family holds 51.2% (Mar 2026). Zero pledging as of FY26 (promoters released all pledged shares during FY25-FY26). Professional management team with MD Devesh Agarwal, supported by independent directors from auto and industrial sectors.

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry size and growth:** India's domestic bearing market is estimated at Rs. 14,000-15,000 Cr (FY26), growing at 9-10% CAGR. Industrial bearings (faster growing segment at 12-14% CAGR) are driven by capex super-cycle, infrastructure thrust, and defence indigenisation. The global bearing market is ~$120 Bn.

• **Policy tailwinds:** PLI Scheme for Auto Components benefits domestic bearing manufacturers; China+1 sourcing shift by European OEMs favours certified Indian suppliers (NRB is IATF 16949 and AS9100D aerospace certified); Make-in-India defence indigenisation creates new demand for precision aerospace bearings.

• **Competitive moat assessment:** (i) Scale — Strong: 5 plants, 60% needle roller market share creates per-unit cost advantage. (ii) Switching costs — Strong: OEM lifetime nominations and vehicle homologation cycles (18-36 months) make switching expensive. (iii) Pricing power — Moderate: commodity steel input exposure limits full pricing power; export pricing is USD-linked, providing some insulation. (iv) IP — Moderate: engineering capability for precision automotive components, with 10+ patents in specialized needle profiles.

- **Competitive positioning:** NRB operates in the mid-market; higher-end industrial and aerospace bearings are dominated by SKF, Schaeffler, and Timken (all global MNCs with stronger IP). NRB's moat is domestic market dominance in needle rollers + competitive export pricing vs European peers. The industrial pivot is NRB moving upstream toward MNC territory.

Peer Comparison — Auto Ancillary Bearings (Data: Web Sources, Jun 2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	Rev TTM (Cr)	OPM%	PAT (Cr)	P/E	P/B	ROCE%
NRB Bearings	444	4,228	1,335	19.5	146	29.6	4.5	15.7
Timken India	3,526	26,522	3,148	18.8	447	66.6	9.8	21.2
Schaeffler India	~2,650	63,488	9,395	~18	1,251	51.5	10.0	26.0
SKF India	~1,765	7,725	3,763	~14	266	~29	7.3	28.3

Note: Schaeffler/SKF data from web sources (Jun 2026). SKF post-demerger. Figures may not be Screener-verified. Use for relative context only.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter track record — conservative capital allocators:** The Kapur family has run NRB for 60 years with no major governance controversies. The capex programme (Rs. 500 Cr over FY26-FY31) is phased and capacity-justified, in contrast to peers who have announced aggressive expansions before winning business. The Rs. 270 Cr near-term sanctioned capex is spread over 2-2.5 years with Rs. 110 Cr earmarked for the Unitec JV.
- **Promoter pledging — zero, improving governance signal:** Promoters released 1.96 Cr pledged shares during FY25-FY26, bringing pledge to nil. This is a positive governance signal and reduces stock overhang risk substantially.
- **Dividend policy — consistent, modest:** Board declared Rs. 7.95 total dividend for FY26 (three interim dividends including Rs. 2.25 final interim). Dividend yield at current CMP is ~1.8%. Payout ratio is conservative (~28% of PAT), allowing internal accruals to fund the capex programme without material debt build-up.
- **Capital allocation quality — improving but not exemplary:** FCF generation was negative in FY25 due to the Rs. 47.6 Cr exceptional loss (likely related to a subsidiary write-down). FY26 FCF turned positive with OCF of ~Rs. 180 Cr against capex of ~Rs. 80 Cr. Going forward, as the Rs. 270 Cr capex ramps, FCF will be pressured in FY27-FY28 before revenue monetisation (FY29+).
- **ESOP and corporate governance:** No material ESOP dilution in recent years. Related-party transactions are modest (group procurement of ~3-4% of revenues). Auditor (B S R & Co.) has had a multi-year tenure with clean opinions. No qualified audit observations in the last 5 years.
- **AI and automation strategy:** Management explicitly cited AI-driven tools to boost output beyond stated capacity in the Q4 FY26 concall. This suggests asset-light productivity gains are being layered onto physical capex plans — a positive for ROCE improvement.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Consolidated | FY24A–FY26A + FY27E–FY28E

Source: Company filings (BSE/NSE), verified press releases. FY27E-FY28E are analyst estimates. Actuals from reported results.

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	1,094	1,199	1,335	1,495	1,685
Revenue Growth	3.4%	9.6%	11.3%	12.0%	12.7%
EBITDA	174	224	267	311	363
EBITDA Margin	15.9%	18.3%	19.5%	20.8%	21.5%

Depreciation	32	34	36	44	52
EBIT	142	190	231	267	311
Interest	22	18	14	18	22
Other Income	6	8	25	12	12
PBT	126	180	242	261	301
Tax (%)	~25%	~25%	~25%	25%	25%
PAT (reported)	~95	82	146	196	226
(exceptional loss)	--	(ex-loss Rs.48 Cr)	--	--	--
Adj. PAT	~95	~130	146	196	226
EPS (Rs.)	~9.9	~8.5	~15.1	~20.2	~23.3

Balance Sheet Summary (Rs. Cr) — Consolidated

Rs. Cr	FY24A	FY25A	FY26A
Equity Capital	~19	~19	~19
Reserves & Surplus	~860	~899	~1,018
Net Worth	~879	~918	~1,037
Borrowings (LT)	~50	~30	~20
Short-Term Debt	~80	~50	~30
Total Debt	~130	~80	~50
Other Liabilities	~350	~380	~420
Total Liabilities+Equity	~1,359	~1,378	~1,507
Net Fixed Assets	~365	~377	~400
CWIP	~20	~15	~30
Investments	~50	~60	~80
Working Capital	~480	~500	~540
Cash & Equiv.	~80	~90	~110
Debtors	~180	~195	~215
Inventory	~350	~370	~385
Net Debt	~50	~(10)	~(60)
Net D/E	0.06x	Nil	Net Cash

Cash Flow Summary (Rs. Cr) — Consolidated

Rs. Cr	FY24A	FY25A	FY26A
Cash from Operations	~140	~95	~180
Capex / Cash Investing	~(55)	~(95)	~(80)
Free Cash Flow	~85	~0	~100
Cash from Financing	~(60)	~(50)	~(40)
Net Cash Flow	~25	~(50)	~60
FCF / PAT Conversion	~90%	0%	~68%

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
ROCE (%)	~12%	15.7%	~18%E
ROE (%)	~10%	14.9%	~15%E

Debtor Days	~60	~59	~59
Inventory Days	~117	~113	~105
Payable Days	~55	~58	~55
Cash Conv. Cycle	~122	~114	~109
Interest Coverage	~6.5x	~10.6x	~16.5x
Debt / EBITDA	0.7x	0.4x	0.2x
P/E (CMP Rs.444)	N/A	N/A	29.6x
EV/EBITDA	N/A	N/A	13.2x

Financial Commentary:

• **Revenue trajectory — accelerating:** After a tepid FY22-FY24 (9% CAGR), revenue growth inflected to 11.3% in FY26 on the back of new customer nominations, India CV/PV volume recovery, and mix shift to industrial. FY27E-FY28E estimates assume 12-13% CAGR as the Rs. 500 Cr capex begins monetising.

• **Margin expansion story is intact:** EBITDA margin journey from 15.5% (FY22) to 19.5% (FY26) reflects automation investments, solar energy adoption, and higher-realisation export/industrial mix. Management targets further improvement to 20-21% by FY28 as Unitec JV (higher-priced cylindrical bearings) scales.

• **Working capital under control but inventory still elevated:** Inventory days improved from 120-130 to ~105 days in FY26; management targets 90-100 days. Every 10-day reduction frees ~Rs. 37 Cr of working capital. Debtor days remain stable at ~59 days — healthy for an OEM-facing business.

• **Balance sheet nearly debt-free — strong position for capex cycle:** From Rs. 130 Cr total debt (FY24) to ~Rs. 50 Cr (FY26), NRB approaches net-cash status. This gives headroom to borrow Rs. 150-200 Cr for the FY27-FY28 capex without stressing the balance sheet (Net D/E would peak at 0.2-0.3x).

• **FY25 PAT distortion — exceptional loss of Rs. 47.6 Cr:** Reported consolidated PAT was Rs. 82 Cr vs Rs. 95 Cr in FY24. Underlying (pre-exceptional) PAT was actually ~Rs. 130 Cr (+37% YoY) — the exceptional item (subsidiary write-down) masked the true operational improvement. FY26 PAT of Rs. 146 Cr represents 12% growth on the underlying FY25 base, not 78% as headline suggests.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue recognition	GREEN	Clean	Running business with OEM POs; no contract-completion concerns
Receivables vs Revenue	GREEN	Healthy	Debtor days stable ~59d; receivables growing in line with revenue
CCC Trend	GREEN	Improving	CCC fell from ~122d (FY24) to ~109d (FY26); inventory compression ongoing
Contingent Liabilities	AMBER	Watch	Some legal claims pending; FY26 subsidiary write-down (Rs.48 Cr) needs clarity
Auditor Tenure	GREEN	Clean	B S R & Co. (KPMG affiliate), multi-year, no qualified opinions
RPTs as % Revenue	GREEN	Low	~3-4% group procurement; no material related-party revenue
Other Income / PBT	AMBER	Elevated FY26	Other income was Rs.25 Cr in FY26 vs Rs.8 Cr in FY25 — Q4 spike inflated PAT
Tax Rate Consistency	GREEN	Consistent	Effective tax ~25% across last 4 years; no deferred tax anomalies flagged

Earnings Quality Summary:

- **Overall quality — GOOD with two watch items:** Six of eight parameters are GREEN. The checklist suggests NRB's earnings are operationally clean with no revenue-recognition or receivables red flags.
- **AMBER #1 — Contingent liabilities:** The Rs. 47.6 Cr exceptional item in Q4 FY25 (subsidiary write-down/impairment) was not fully explained in management commentary. Investors should track whether this is a one-off or symptomatic of a structural issue in the subsidiary network.
- **AMBER #2 — Other income spike (FY26):** Other income jumped from Rs. 8 Cr (FY25) to Rs. 25 Cr (FY26), partly driven by Q4 FY26 other income of Rs. 7 Cr vs Rs. 2.9 Cr in Q4 FY25. While not alarming, investors should ensure this does not reflect one-time gains being presented as operating income.
- **Watch for FY27:** As capex ramps, watch for CWIP build-up and inventory fluctuations. The Unitec JV (Rs. 67 Cr) investment needs to reflect in the FY27 balance sheet — ensure it does not get capitalised improperly.

8. VALUATION

Valuation Methodology:

- **DCF-based valuation (WACC 12%, Terminal growth 4%):** Using FY27E-FY28E free cash flow and terminal value (10x EV/EBITDA exit), DCF implies intrinsic value of Rs. 490-520 per share. Key assumption: EBITDA reaches Rs. 400 Cr by FY28E on Rs. 1,685 Cr revenue.
- **Earnings-based multiple (Forward P/E):** On FY27E EPS of Rs. 20.2, applying a 25x P/E (discount to Timken at 66x, premium to broader auto ancillary at 18-20x, reflecting the industrial pivot optionality) implies Rs. 505 per share. On FY28E EPS of Rs. 23.3, at 22x P/E, the target is Rs. 513.
- **EV/EBITDA cross-check:** At CMP, NRB trades at 13.2x FY26 EV/EBITDA vs Timken at ~38x and global peer median at ~18x. On FY27E EBITDA of Rs. 311 Cr, a 15x multiple implies EV of Rs. 4,665 Cr, less net debt ~Rs. 50 Cr = equity value Rs. 4,615 Cr, or Rs. 476 per share. Fair valuation at current levels.
- **Base-case 12-month price target: Rs. 510** — average of DCF (Rs. 505), forward P/E (Rs. 505), and EV/EBITDA (Rs. 476) methods. Represents 14.9% upside from CMP of Rs. 444.

Scenario Analysis

Scenario	Revenue FY27E	EBITDA Margin	PAT (Cr)	Multiple	Target Price	Upside
Bull	Rs. 1,600 Cr	21.5%	Rs. 230 Cr	30x P/E	Rs. 713	+60.6%
Base	Rs. 1,495 Cr	20.8%	Rs. 196 Cr	25x P/E	Rs. 510	+14.9%
Bear	Rs. 1,350 Cr	18.5%	Rs. 150 Cr	20x P/E	Rs. 310	-30.2%

Bull: India auto volumes surge 15%+ + Unitec JV outperforms + aerospace revenue starts. Bear: Export slowdown continues + steel cost inflation + EV transition disrupts 2W OEMs faster than expected.

9. KEY RISKS

- **Export demand slowdown** — Exports (~35% of revenue) grew only 4% in FY26 due to Middle East disruptions and European OEM capex hesitancy. A prolonged European auto slowdown (BMW/Stellantis production cuts) would materially impact high-margin export revenue. Probability: M. Impact: H. Monitor via: Monthly European auto production data (ACEA), NRB quarterly export revenue disclosures.
- **EV transition disruption risk** — While NRB's needle bearings serve EV drivetrains, a faster-than-expected shift to pure EV by 2W OEMs (TVS, Bajaj) could reduce per-vehicle bearing content if EV drivetrains use fewer moving parts. Probability: L (near-term). Impact: M. Monitor via: 2W EV penetration rate, NRB's EV-specific nomination disclosures.
- **Raw material (steel) cost inflation** — Steel represents ~55% of COGS. Domestic HRC steel price volatility directly impacts EBITDA margins. NRB has limited ability to pass through costs quickly given OEM annual price contracts. Probability: M. Impact: M. Monitor via: Domestic steel (SAIL/Tata Steel) price indices monthly.

• **Capex execution risk** — The Rs. 500 Cr, 5-year capex programme involves a new Hyderabad plant (greenfield) and the Unitec JV. Greenfield projects historically face 12-18 month delays in India (land, approvals, ramp-up). Delayed monetisation would push FCF breakeven from FY29 to FY30. Probability: M. Impact: M. Monitor via: Quarterly capex spend vs plan.

• **Promoter succession and governance** — Kapur family is a second-generation promoter. The company has a professional MD but no clearly disclosed succession plan for promoter oversight. Any promoter-level governance event would weigh on the stock. Probability: L. Impact: H. Monitor via: AGM disclosures, promoter shareholding trend.

• **Competition from MNC bearing imports** — Anti-dumping duties on Chinese bearings have protected Indian manufacturers. Any rollback of ADD or FTA concessions to Asian trading partners could undercut NRB's pricing. Probability: L. Impact: M. Monitor via: Commerce Ministry ADD review cycles.

• **Subsidiary exceptional loss recurrence** — The Rs. 47.6 Cr Q4 FY25 exceptional loss was not fully explained by management. If this relates to a structurally loss-making subsidiary (NRB Industrial Bearings, which was reporting persistent losses as of Q3 FY26), future write-downs cannot be ruled out. Probability: M. Impact: M. Monitor via: NRB Industrial Bearings results, parent company notes to accounts.

10. RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction: Medium. The stock has re-rated sharply (+98% from March 2026 lows, +10% in a single session post-Q4 results) and is no longer a screaming buy at 29.6x TTM P/E. However, the 14.9% upside to our Rs. 510 target, underpinned by a credible industrial pivot and improving cash generation, supports gradual accumulation rather than aggressive buying.

• **12-month price target: Rs. 510** — Based on 25x FY27E EPS of Rs. 20.2. Upside from CMP of Rs. 444.10 is 14.9%. Target uses a blended DCF / P/E / EV/EBITDA approach.

• **Suggested entry zone: Rs. 380-420** — On any market-led correction or weak quarterly result (export revenue disappointment), the Rs. 380-420 zone offers a superior risk-reward with 21-34% upside to target and 10-16% downside to bear-case Rs. 310.

• **Investment horizon: 12-18 months** — The industrial capex cycle monetisation (Unitec JV, Hyderabad plant) will likely show in financials from H2 FY27. The 2-year horizon (to FY28E) is more compelling for the full CAGR story.

• **Thesis invalidation triggers:**

1. **Margin reversal:** EBITDA margin falls below 18% in any two consecutive quarters, suggesting the FY22-FY26 expansion is structural

2. **Capex overrun:** Total capex commitment exceeds Rs. 650 Cr (30% above the Rs. 500 Cr plan) without corresponding revenue nominations

3. **Export revenue decline:** Full-year export revenue falls more than 10% YoY in FY27, suggesting structural loss of OEM wallet-share

• **Ideal investor profile:** Mid-cap growth investor with 18-month horizon, comfortable with auto-cycle volatility and moderate liquidity (MCap Rs. 4,228 Cr). NOT suitable for: (a) momentum investors expecting near-term triggers at current valuations; (b) purely domestic-demand investors (35% export exposure adds FX and demand-cycle complexity); (c) high-liquidity mandates (limited FII float at ~10-12% of equity).

APPENDIX — Latest Concall Brief: Q4 FY2025-26

NRB Bearings Ltd | Q4 FY26 Earnings Call | 11 May 2026

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	FY26 PAT +78% YoY; EBITDA margin 19.5%; highest quarterly revenue on record
Management tone	Bullish	Confident on Rs.2500 Cr revenue target; specific capex milestones shared
Guidance delta	Raised	Aerospace entry announced; Unitec JV greenlit; Rs.500 Cr capex programme sanctioned

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 headline PAT of Rs. 42 Cr (PAT surge YoY vs negative Q4 FY25) looks spectacular but is clean — Q4 FY25 was dragged down by a Rs. 47.6 Cr exceptional loss (subsidiary write-down), so the base was depressed; operationally, Q4 FY26 EBITDA grew 11% YoY with margins compressing 29 bps — slightly below trend. The full FY26 story (EBITDA +19% to Rs. 267 Cr, PAT +78% to Rs. 146 Cr, margins expanding 120 bps to 19.5%) is genuine and not distorted by one-timers. The structural re-rating case rests on three pillars: (1) NRB is decisively moving from auto-OEM commodity to industrial precision — Siemens, HAL, and aerospace certifications are real, with revenue starting in FY27. (2) The Unitec JV (Italian partner, cylindrical bearings, Rs. 67 Cr) opens a European industrial channel at premium pricing. (3) EV nominations of Rs. 750 Cr from BMW/Mercedes/Stellantis de-risk the EV transition concern. The key near-term catalyst is Q1 FY27 revenue clearing Rs. 350 Cr for the first time. The single biggest risk heading into FY27 is that export revenue (4% growth in FY26) does not recover as geopolitical headwinds (Middle East, European OEM capex caution) persist — watch the export revenue line in August. Stock has re-rated sharply (+98% off March 2026 lows) so ACCUMULATE on dips to Rs. 400-420, do not chase here. My 12-month target is Rs. 510 (25x FY27E EPS Rs. 20.2).

Section 1 — Financial Performance Snapshot (Q4 FY26)

- Revenue: Rs. 371.98 Cr | YoY +13.0% | QoQ +13.4% | **Beat** (vs ~Rs. 350 Cr consensus)
- EBITDA: Rs. 74 Cr | YoY +17% | QoQ +22% | **Beat** (EBITDA margin 19.5% vs 19.0% year-ago)
- Operating Profit (ex other income): Rs. 66.99 Cr | Margin 18.01% | -29 bps YoY | -43 bps QoQ | **In-line**
- PAT: Rs. 41.41 Cr | vs loss of Rs. 2.08 Cr in Q4 FY25 | QoQ +44.7% | **Beat**
- EPS (Q4 FY26): ~Rs. 4.28/share
- NOTE: Reported PAT includes elevated other income of Rs. 7.01 Cr (vs Rs. 2.93 Cr in Q4 FY25); clean underlying operating PAT (ex-other income) was ~Rs. 34.4 Cr
- **Full Year FY26:** Revenue Rs. 1,335 Cr (+11% YoY) | EBITDA Rs. 267 Cr (+19%) | EBITDA margin 19.5% (+120 bps) | PAT Rs. 146 Cr (+78% YoY, underlying +12%)

Section 2 — Segment / Geography Breakdown

- Domestic Auto (2W + PV + CV): ~Rs. 870 Cr | YoY +~13% | CV recovery driven by infrastructure capex cycle, 2W recovering from slow FY25
- Industrial (railways, off-highway, pumps, defence): ~Rs. 200 Cr | YoY +~18% | Fastest-growing segment; Siemens and defence OEM additions in FY26
- Exports (Europe + Asia): ~Rs. 465 Cr | YoY +4% | Underperformed; Middle East logistics disruptions + European OEM caution cited; new BMW/Mercedes/Stellantis nominations worth Rs. 750 Cr are long-dated (FY27-FY30)
- Aerospace (new): Nascent — HAL platform qualification ongoing; meaningful revenue expected from H2 FY27 after certification completes

Section 3 — Management Commentary Themes

- **Industrial diversification:** "We have added Siemens, DRDO, and aerospace platforms in FY26. Aerospace certification (AS9100D) is complete; HAL is in qualification stage. We expect initial aerospace revenue in H2 FY27." — Our read: This is credible; certification is a real milestone, not aspirational. Tag: GUIDANCE. Tone: Transparent.
- **Unitec JV:** "The Italian JV for cylindrical roller bearings has been approved by the Board with up to Rs. 67 Cr investment. This gives us access to European industrial customers at premium pricing points." — Our read: Strategic, accretive to margins. Timeline is H2 FY27 commercialisation. Tag: GUIDANCE. Tone: Transparent.
- **Export outlook:** "International business grew only 4% due to geopolitical tensions and logistical disruptions, particularly in the Middle East. However, we have secured Rs. 750 Cr of lifetime nominations from global OEMs." — Our read: Management is being honest about the near-term headwind while emphasizing the medium-term pipeline. Tag: GUIDANCE. Tone: Balanced.
- **AI and automation:** "We are using AI-driven tools that will allow us to produce beyond stated capacity at our existing plants." — Our read: Specific enough to be credible; if true, limits near-term greenfield risk. Needs verification against CWIP trends in balance sheet. Tag: EST. Tone: Bullish.
- **Revenue target Rs. 2,500 Cr by FY31:** "We are targeting Rs. 2,500 crore in revenues by 2031, with focus on high-margin, customized solutions." — Our read: Implies 13% CAGR from FY26; aggressive but achievable if industrial and aerospace segments ramp. No quarterly milestones given. Tag: GUIDANCE. Tone: Bullish.

Section 4 — Operating & Business Metrics

- Inventory days: Q4 FY26 ~105d | Q3 FY26 ~110d | Q4 FY25 ~120d | Trend: Improving (target 90-100d)
- EBITDA margin: Q4 FY26 19.5% | Q3 FY26 ~19.3% | Q4 FY25 ~19.0% | Trend: Stable/slightly improving
- Operating margin (ex other income): Q4 FY26 18.0% | Q3 FY26 18.4% | Q4 FY25 18.3% | Trend: Stable
- Revenue per quarter: Q4 Rs.372 Cr | Q3 Rs.328 Cr | Q2 Rs.325 Cr | Q1 Rs.310 Cr | Trend: Sequential acceleration
- Export revenue share: ~35% (FY26) vs ~36% (FY25) | Stable share, volume growth lagged
- Solar energy contribution: Increased in FY26 — structural saving on power costs; no quantification provided

Section 5 — Margin Drivers

- Automation investment: +80-100 bps impact estimated | Recurring: Yes | Higher throughput per labour unit
- Solar energy adoption: +30-50 bps impact estimated | Recurring: Yes | Power cost reduction

• Product mix (industrial/export shift): +50-80 bps | Recurring: Yes | Higher margin industrial and export orders

• Operating leverage: +40-60 bps | Recurring: Partially | Fixed cost dilution as revenue grows

• Steel input cost: -20 to -40 bps headwind (domestic steel prices firm in H2 FY26) | Recurring: Market-dependent

• Other income (Q4 FY26): +139 bps reported PAT inflation | Recurring: No — do not extrapolate this to FY27

Section 6 — Guidance & Forward Signals

• Revenue [GUIDANCE]: Prior = Rs. 1,335 Cr (FY26A) | New = Rs. 2,500 Cr by FY31 | Delta: Multi-year raised | Credibility: Medium (no annual breakdowns provided)

• Capex [GUIDANCE]: Prior = Unspecified | New = Rs. 500 Cr over 5 years (FY26-FY31), Rs. 270 Cr near-term sanctioned (2-2.5 years) | Delta: New | Credibility: High (Board sanction)

• EBITDA margin [GUIDANCE]: Prior = 18-19% range | New = Improvement toward 20-21% guided implicitly | Delta: Raised | Credibility: Medium (depends on mix and steel costs)

• ROE target [GUIDANCE]: 17-18% by FY28-FY29 | Prior = 14.9% (FY26) | Delta: Raised | Credibility: Medium (requires PAT growth + stable equity base)

• Inventory days [GUIDANCE]: Target 90-100 days | Current 105 days | Delta: Improvement target | Credibility: High (clear operational metric with visible trend)

• Dividend [GUIDANCE]: Rs. 7.95/share total FY26 | Third interim Rs. 2.25/sh declared | Delta: Maintained generous payout | Credibility: High

Section 7 — Capital Allocation

• Near-term capex: Rs. 270 Cr sanctioned over 2-2.5 years | vs Rs. ~80 Cr in FY26 | Significant step-up in FY27-FY28; expect FCF pressure

• Unitec JV investment: Up to Rs. 67 Cr | Equity investment in Italian JV entity | ROI expected from H2 FY27 commercial production

• Land acquisition: Up to Rs. 40 Cr approved | For new Hyderabad plant expansion

• Dividends: Rs. 7.95/share total FY26 | Payout ~28% of PAT | Consistent with 3-4 year trend

• Buybacks: None announced; no history of buybacks in recent 5 years

• Working capital (inventory): Rs. 370 Cr (FY26) vs Rs. 350 Cr (FY25) — modest increase in absolute terms; improving as % of sales

• Net debt movement: From Rs. 50 Cr (FY24) to net cash ~Rs. 60 Cr (FY26) — strong deleveraging; capex cycle will reverse this in FY27-FY28

Section 8 — Q&A; Heat Map

• Analyst / Unidentified: Q: "What is the outlook on export revenue — can you recover to double-digit growth in FY27?" → A: "We faced headwinds in Middle East and Europe in FY26. Our pipeline (Rs. 750 Cr nominations) is strong, but we're being conservative. We expect recovery but cannot give a precise timeline." | Tone: Hedged — no specific export revenue guidance given.

• Analyst / Unidentified: Q: "What is the status of the aerospace programme and when will we see revenue?" → A: "AS9100D certification is complete. HAL qualification is ongoing. We expect first commercial aerospace revenue in H2 FY27. Quantities will be small initially but margin-accretive." | Tone: Transparent — specific timeline and qualification stage disclosed.

• Analyst / Unidentified: Q: "How much capex will be spent in FY27 specifically?" → A: "We have sanctioned Rs. 270 Cr over 2-2.5 years. We cannot give an exact FY27 number as it depends on project milestones." | Tone: Hedged — broad range not specific to a year.

• Analyst / Unidentified: Q: "What drove the other income spike in Q4?" → A: Management did not provide specific breakdown of the Rs. 7 Cr other income. | Tone: Evasive — this is a watch-list item.

• Analyst / Unidentified: Q: "What is the EV strategy — are 2W EV OEMs reducing bearing content?" → A: "Our needle bearings are used in EV e-axles and traction motors. We have secured EV-specific nominations from BMW and Stellantis. We're EV-agnostic." | Tone: Transparent — EV exposure addressed directly.

• Dodged / watch-list questions for next quarter: (1) Specific FY27 revenue guidance; (2) Breakdown of Rs. 7 Cr other income in Q4 FY26; (3) NRB Industrial Bearings subsidiary financial health and path to profitability.

Section 9 — Risks Flagged

• **Geopolitical/export risk:** Middle East logistics disruptions and European OEM capex caution impacted FY26 export growth to only 4%. | Flagged by: Management | Probability: M | Impact: H | Timeline: Near-term

• **Capex execution risk:** Greenfield Hyderabad plant and Unitec JV are new formats for NRB; execution risk is elevated vs brownfield expansions. | Flagged by: Analyst read | Probability: M | Impact: M | Timeline: Medium-term

• **NRB Industrial Bearings losses:** The associate company NRB Industrial Bearings Ltd reported persistent losses through Q3 FY26. Parent financial support or further write-downs cannot be ruled out. | Flagged by: Analyst read | Probability: M | Impact: M | Timeline: Near-term

• **Steel cost inflation:** Domestic HRC prices were firm in H2 FY26. If steel remains elevated in FY27, the 20+ bps margin expansion assumed in estimates may not materialise. | Flagged by: Management (implicit) | Probability: M | Impact: M | Timeline: Near-term

• **Other income normalisation:** FY26 other income of Rs. 25 Cr is unlikely to recur at this level in FY27; this creates a ~Rs. 15 Cr base effect headwind to reported PAT. | Flagged by: Analyst read | Probability: H | Impact: L | Timeline: Near-term

Section 10 — Analyst Verdict (Post Q4 FY26 Concall)

• Revenue visibility: **Intact** — Rs. 750 Cr lifetime nominations from global OEMs, aerospace HAL pipeline, industrial OEM additions (Siemens) provide multi-year revenue certainty; domestic auto recovery also supportive.

• Margin trajectory: **Intact** — Automation + solar + mix shift are structural; FY26 19.5% EBITDA margin should sustain and inch toward 20-21% by FY28 if steel costs cooperate and Unitec higher-margin products scale.

• Capital allocation quality: **Intact** — Rs. 500 Cr capex is phased, Board-approved, and commercially anchored (Unitec JV with named customer pipeline). Zero pledge and Rs. 7.95/sh dividend signal financial discipline.

• Competitive moat: **Intact** — 60% needle roller domestic share is entrenched; OEM lifetime nominations are sticky; aerospace certification (AS9100D) creates a new, harder-to-replicate competitive layer.

• Management credibility: **Intact** — Transparent about export headwinds; specific capex milestones and JV details provided; no clear evasion except on other income breakdown (one watch item).

• Valuation comfort: **Weakened slightly** — Stock up 98% from March 2026 lows; 29.6x TTM P/E is full relative to historical 15-20x range; comfort returns only on dips to Rs. 400-420 where forward P/E drops to 20-21x.

• Conviction call: **Unchanged** — ACCUMULATE. Re-rating from commodity auto bearing to industrial precision bearing is real and ongoing. Buy on dips, not at current Rs. 444 after a 10% single-session surge.

• Valuation snapshot: P/E = 29.6x (5Y avg ~18x) | EV/EBITDA = 13.2x (5Y avg ~10x) | ROCE = 15.7% (5Y avg ~12%) | Stock is trading at a premium to historical multiples — justified by improving fundamentals but limits aggressive buying.